



We will observe two things with endowment plans and ULIPs. First, whenever they advertise, they will use large numbers. Rs.10,000 each month becomes Rs. 1,00,00,000 in 20 years, Rs.65 a day, will become Rs.30,00,000 in 15 years and so on. However, if we inquire about the rate of return, most will return sub6% for the same which is pretty much in line with fixed deposits. If we invested the investment component separately, we could have made much better returns. The companies try to use big numbers as a marketing technique to get us all overwhelmed and not use too much logic against it. As a result, whenever we see big numbers, we need to be very careful and always ask for the rate of return.

Second, the sum insured in this case is generally low. The reason for this is they need a sizeable component to go in the investment component. As a result, we would either be inadequately insured or we would need to pay sky-high annual premiums. The latter can become psychologically exhausting. Additionally, we might even have to let go of one month's worth of our salary as an annual premium for insurance. It is impossible to expect someone to pay so much for an insurance cover and thus, most will remain under-insured.

If we are lured by money-back on maturity, we can do something interesting here. Check the premium of the endowment plan for a particular coverage amount. Now, we could buy a term plan (at a much cheaper rate) of the same sum insured and invest the balance in an equity mutual fund. If this is done over multiple years, at maturity, we will have 2-3x of what the endowment fund returns us. So, we will always be buying a term plan and investing the rest as per our financial goals.

